



Rating
Buy

North America
United States

TMT
Internet

Company
Meta

Reuters
META.OQ

Bloomberg
META US

Exchange
NAS

Ticker
META

Date
30 April 2026

Forecast Change

Price at 29 Apr 2026 (USD)	669.12
Price target	810.00
52-week range	790.00 - 525.72

Top-line Momentum...But at a Cost

Meta is scaling its bet on AI/infrastructure slightly faster than investors anticipated, with the company raising the mid-point of its FY26 capex guidance by \$10bn. Now, investors are clearly skeptical again, with META's stock down more than 6-7% in the after-hours. The magnitude of the investments are indeed vast, and Meta does not have a vibrant cloud business to drive immediate returns on the large infrastructure investments they are making, unlike Alphabet and Amazon. **That said, we contend that it is becoming increasingly clear the Meta's spend on compute capacity is yielding strong ROI by way of improving advertising revenue growth, which in turn is supporting top-line durability.** In fact, this top-line strength was again on display this quarter, with Meta reporting 1Q revenue of \$56.3bn (+28.9% FXN a ~600bps acceleration in y/y growth from 4Q25 levels, and ~90bps above the Street), with a guidance for the high-end of the 2Q revenue to be \$61bn (up 26% FXN y/y), ~250bps ahead of consensus.

In addition to unlocking new TAMs, we contend that META's frontier lab is also significantly supporting the core business. In fact, the FoA business is fundamentally very strong at the moment, with core AI investments driving continued engagement growth, and the ad platform becoming even more performant. **As such, as the fastest growing ad platform at scale, we argue Meta is still leaning into its growing Gen AI ambitions from a position of top-line strength.** As it stands today, the LLMs coming out of the MSL team are being used to deepen the content understanding on the platform, driving more relevant content suggestions. Likewise these LLMs are being integrated into the ads recommendation platform to support conversions. The usage of ad creative tools is also scaling, which in turn is benefiting overall performance as well, with early adopters using the company's video generation feature seeing >3% conversion rates step-ups. Looking forward, we do anticipate further model launches, which should increasingly become more performant; to that end, the company is already training even more advanced models, and as they are released, we think they could serve as positive catalysts.

All in, we lean on Meta's track record of high ROI investments which have, in the past, resulted in products that drive scaled consumer adoption. Our view is supported by the speed in which the MSL team was able to release Muse Spark, which has significantly narrowed the gap to the leading frontier labs. **Perhaps more importantly, given the reasonable valuation after last night's pullback and fundamentally better advertising platform that's gaining share, we argue the risk**

Valuation & Risks

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Key changes

TP	920.00 to 810.00	↓	-12.0%
EPS (USD)	30.34 to 34.22	↑	12.8%
Revenue (USDm)	253,374.6 to 254,511.0	↑	0.4%
GAAP EPS	30.34 to 34.22	↑	12.8%

Source: Deutsche Bank

Deutsche Bank Securities Inc.

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/reward increasingly appears attractive to get behind Mark Zuckerberg and his growing AI ambitions now.

As such, we maintain our Buy rating, though given our moderated FCF estimates, we lower our target price to \$810 (from \$920), which is based on a 24x (down from 27x) FY27 GAAP P/E multiple.

1Q26 Results

Figure 1: 1Q26 Results

1Q26A - Actuals Versus Estimates									
(In Millions, Unless otherwise stated)	Actual Reported	DB Est. (DBE)	Actual vs. DBE	Street Estimate	Actual vs. Street	1Q25A	y/y change	4Q25A	q/q change
Total Revenue	\$56,311	\$56,353	(0.1)%	\$55,513	1.4%	\$42,314	33.1%	\$59,893	(6.0)%
Guidance	\$53.5bn - \$56.5bn for the Quarter								
Family of Apps	\$55,909	\$55,859	0.1%	\$55,000	1.7%	\$41,902	33.4%	\$58,938	(5.1)%
Advertising	\$55,024	\$55,043	(0.0)%	\$54,160	1.6%	\$41,392	32.9%	\$58,137	(5.4)%
Other	\$885	\$816	8.5%	\$741	19.4%	\$510	73.5%	\$801	10.5%
Reality Labs	\$402	\$494	(18.7)%	\$508	(20.9)%	\$412	(2.4)%	\$955	(57.9)%
Impressions Growth y/y	19.0%	20.7%	(174) bps	16.2%	+281 bps	5.5%	+1355 bps	17.1%	+193 bps
Price Per Impression y/y	11.7%	10.1%	+157 bps	12.0%	(26) bps	10.2%	+155 bps	6.1%	+556 bps
GAAP Cost of Revenue	\$10,218	\$10,571	(3.3)%	\$10,809	(5.5)%	\$7,572	34.9%	\$10,905	(6.3)%
GAAP Op expenses	\$23,221	\$24,633	(5.7)%	\$25,290	(8.2)%	\$17,187	35.1%	\$24,243	(4.2)%
GAAP Total Costs/Expenses	\$33,439	\$35,204	(5.0)%	\$36,099	(7.4)%	\$24,759	35.1%	\$35,148	(4.9)%
Guidance	\$162bn - \$169bn for the Year								
Operating Income	\$22,872	\$21,149	8.1%	\$19,459	17.5%	\$17,555	30.3%	\$24,745	(7.6)%
Family of Apps	\$26,900	\$24,127	11.5%	\$24,261	10.9%	\$21,765	23.6%	\$30,766	(12.6)%
Reality Labs	\$(4,028)	\$(2,978)	NM	\$(4,768)	NM	\$(4,210)	NM	\$(6,021)	NM
OI Margin	40.6%	37.5%	+309 bps	35.1%	+556 bps	41.5%	(87) bps	41.3%	(70) bps
Family of Apps	48.1%	43.2%	+492 bps	44.1%	+400 bps	51.9%	(383) bps	52.2%	(409) bps
Reality Labs	(1002.0)%	(602.3)%		(938.4)%		(1021.8)%		(630.5)%	
Net Income	\$26,773	\$18,927	41.5%	\$17,204	55.6%	\$16,644	60.9%	\$22,768	17.6%
Net Income Margin	47.5%	33.6%		31.0%		39.3%		38.0%	
Diluted EPS	\$10.44	\$7.35	42.1%	\$6.65	57.1%	\$6.43	62.5%	\$8.88	17.6%
Capex	\$19,840	\$24,794	(20.0)%			\$13,692	44.9%	\$22,137	(10.4)%
Purchases of PP&E	\$18,997	\$23,941	(20.7)%	\$26,879	(29.3)%	\$12,941	46.8%	\$21,383	(11.2)%
Prin. Payments on Cap leases	\$843	\$853				\$751	12.3%	\$754	11.8%
Guidance	\$115bn - \$135bn for the Year								
Free Cash Flow (FCF)	\$12,386	\$6,948	78.3%	\$3,858	221.0%	\$10,334	19.9%	\$14,077	(12.0)%
FCF Margins	22.0%	12.3%		7.0%	+1505 bps	24.4%		23.5%	

Source : Company documents; Bloomberg Finance LP; Deutsche Bank

Revenue Outlook Better for 2Q26 / FY26 CapEx increased by \$10bn

META reiterated expectations for OI to increase y/y in absolute terms in FY26, with the opex outlook for \$162-\$169bn for the year, up 38-44% y/y, also maintained, as the positive impact from the workforce reduction is expected to be offset by associated restructuring costs. The OI outlook implies revenue of at least \$245-\$252bn, or a floor of +21-24% y/y FXN, signifying an acceleration over FY25 (at 22.4% FXN) at the mid-point. For 2Q revenue, the company guided to \$58-\$61bn (above the Street at \$59.6bn), and noted some moderate war-related impact that commenced at the beginning of the war which and persisted throughout the balance of 1Q. This impact has however begun to moderate as the company progressed through April. For the 2Q, we currently model \$60.3bn, up 26.9% y/y and 24.8% FXN. For 2026, we now model total revenue of \$254.5bn, up 26.6% y/y, and up from \$253.4bn previously versus the Street at \$250.7bn before the print. For the year, the company raised its capex outlook to (\$125-\$145bn), from \$115-\$135bn, largely on the back of memory cost inflation. As a result of this we also increased our FY26/27 capex estimates to \$136.4bn/\$183.0bn, up 10%/35% from our prior estimates, respectively.



Figure 2: Outlook

Estimate Revisions				2Q26E				3Q26E						
(In Millions, Unless otherwise stated)	DB Est. (DBe)			Street			y/y change	DB Est. (DBe)			Street			y/y change
	Current	Previous	change	Estimate	DBe vs St.	2Q25A		Current	Previous	change	Estimate	DBe vs St.	3Q25A	
Total Revenue	\$60,302	\$60,518	(0.4)%	\$59,732	1.0%	\$47,516	26.9%	\$62,848	\$63,048	(0.3)%	\$62,849	(0.0)%	\$51,242	22.7%
Guidance		\$58bn - \$61bn for the Quarter												
Family of Apps	\$59,858	\$60,074	(0.4)%	\$59,261	1.0%	\$47,146	27.0%	\$62,261	\$62,460	(0.3)%	\$62,153	0.2%	\$50,772	22.6%
Advertising	\$58,867	\$59,112	(0.4)%	\$58,374	0.8%	\$46,563	26.4%	\$61,088	\$61,322	(0.4)%	\$61,195	(0.2)%	\$50,082	22.0%
Other	\$991	\$962	3.0%	\$823	20.4%	\$583	70.0%	\$1,173	\$1,139	3.0%	\$954	23.0%	\$690	70.0%
Reality Labs	\$444	\$444	---	\$465	(4.6)%	\$370	20.0%	\$588	\$588	---	\$566	3.8%	\$470	25.0%
Impressions Growth y/y	14.1%	14.7%	(57) bps	13.0%	+110 bps	10.8%	+336 bps	10.1%	10.6%	(54) bps	11.5%	(146) bps	14.3%	(426) bps
Price Per Impression y/y	10.8%	10.7%	+9 bps	9.8%	+96 bps	9.7%	+110 bps	10.8%	10.7%	+12 bps	8.5%	+236 bps	9.8%	+99 bps
GAAP Cost of Revenue	\$11,580	\$11,786	(1.7)%	\$11,932	(3.0)%	\$8,491	36.4%	\$12,516	\$12,636	(0.9)%	\$12,957	(3.4)%	\$9,206	36.0%
GAAP Op expenses	\$26,171	\$26,352	(0.7)%	\$26,647	(1.8)%	\$18,584	40.8%	\$30,415	\$30,673	(0.8)%	\$28,884	5.3%	\$21,501	41.5%
GAAP Total Costs/Expenses	\$37,752	\$38,138	(1.0)%	\$38,579	(2.1)%	\$27,075	39.4%	\$42,931	\$43,310	(0.9)%	\$41,841	2.6%	\$30,707	39.8%
Guidance		\$162bn - \$169bn for the Year												
Operating Income	\$22,551	\$22,380	0.8%	\$20,924	7.8%	\$20,441	10.3%	\$19,917	\$19,738	0.9%	\$20,956	(5.0)%	\$20,535	(3.0)%
Family of Apps	\$27,215	\$26,562	2.5%	\$25,747	5.7%	\$24,971	9.0%	\$25,013	\$25,249	(0.9)%	\$25,559	(2.1)%	\$24,967	0.2%
Reality Labs	\$(4,664)	\$(4,182)	NM	\$(5,009)	NM	\$(4,530)	NM	\$(5,096)	\$(5,511)	NM	\$(4,938)	NM	\$(4,432)	NM
OI Margin	37.4%	37.0%	+42 bps	35.0%	+237 bps	43.0%	(562) bps	31.7%	31.3%	+38 bps	33.3%	(165) bps	40.1%	(838) bps
Family of Apps	45.5%	44.2%	+125 bps	43.4%	+202 bps	53.0%	(750) bps	40.2%	40.4%	(25) bps	41.1%	(95) bps	49.2%	(900) bps
Reality Labs	(1050.5)%	(941.9)%		(1076.4)%		(1224.3)%		(867.4)%	(938.1)%		(872.5)%		(943.0)%	
Net Income	\$20,232	\$20,038	1.0%	\$18,342	10.3%	\$18,337	10.3%	\$18,013	\$17,823	1.1%	\$18,390	(2.1)%	\$2,709	564.9%
Net Income Margin	33.6%	33.1%	+44 bps	30.7%	+284 bps	38.6%	(504) bps	28.7%	28.3%	+39 bps	29.3%	(60) bps	5.3%	+2337 bps
Diluted EPS	\$7.86	\$7.75	1.4%	\$7.11	10.5%	\$7.14	10.1%	\$6.97	\$6.87	1.5%	\$7.11	(1.9)%	\$1.05	561.8%
Capex	\$32,361	\$28,939	11.8%			\$17,289	87.2%	\$39,507	\$32,806	20.4%			\$19,374	103.9%
Purchases of PP&E	\$31,422	\$28,115	11.8%	\$30,922	1.6%	\$16,538	90.0%	\$38,599	\$32,009	20.6%	\$34,221	12.8%	\$18,829	105.0%
Prin. Payments on Cap leases	\$939	\$824				\$751	25.0%	\$908	\$796				\$545	66.5%
Guidance		\$125bn - \$145bn for the Year												
Free Cash Flow (FCF)	\$4,189	\$4,010	4.5%	\$843	396.6%	\$8,549	(51.0)%	\$(4,369)	\$1,419	NM	\$(2,411)	NM	\$10,625	NM
FCF Margins	6.9%	6.6%		1.4%	+553 bps	18.0%		(7.0)%	2.3%		(3.8)%	(312) bps	20.7%	

FY2026E				FY2027E										
(In Millions, Unless otherwise stated)	DB Est. (DBe)			Street			y/y change	DB Est. (DBe)			Street			y/y change
	Current	Previous	change	Estimate	DBe vs St.	FY2025A		Current	Previous	change	Estimate	DBe vs St.	FY2026E	
Total Revenue	\$254,511	\$253,375	0.4%	\$250,986	1.4%	\$200,965	26.6%	\$297,611	\$295,577	0.7%	\$297,624	(0.0)%	\$254,511	16.9%
Guidance														
Family of Apps	\$251,884	\$250,655	0.5%	\$248,240	1.5%	\$198,758	26.7%	\$294,196	\$292,041	0.7%	\$293,966	0.1%	\$251,884	16.8%
Advertising	\$247,473	\$246,457	0.4%	\$245,500	0.8%	\$196,174	26.1%	\$286,986	\$285,888	0.4%	\$290,604	(1.2)%	\$247,473	16.0%
Other	\$4,411	\$4,198	5.1%	\$3,563	23.8%	\$2,584	70.7%	\$7,210	\$6,153	17.2%	\$4,547	58.6%	\$4,411	63.5%
Reality Labs	\$2,627	\$2,720	(3.4)%	\$2,648	(0.8)%	\$2,207	19.0%	\$3,415	\$3,536	(3.4)%	\$3,436	(0.6)%	\$2,627	30.0%
Impressions Growth y/y	12.5%	13.2%	(70) bps	13.7%	(121) bps	11.8%	+71 bps	6.1%	6.1%	(1) bps	9.3%	(322) bps	12.5%	(644) bps
Price Per Impression y/y	12.1%	11.0%	+115 bps	10.3%	+180 bps	9.2%	+289 bps	9.3%	9.4%	(2) bps	8.3%	+103 bps	12.1%	(279) bps
GAAP Cost of Revenue	\$49,292	\$50,028	(1.5)%	\$50,632	(2.6)%	\$36,174	36.3%	\$65,597	\$62,654	4.7%	\$62,377	5.2%	\$49,292	33.1%
GAAP Op expenses	\$113,751	\$115,699	(1.7)%	\$112,626	1.0%	\$81,515	39.5%	\$130,752	\$132,779	(1.5)%	\$133,069	(1.7)%	\$113,751	14.9%
GAAP Total Costs/Expenses	\$163,043	\$165,727	(1.6)%	\$163,258	(0.1)%	\$117,689	38.5%	\$196,349	\$195,433	0.5%	\$195,447	0.5%	\$163,043	20.4%
Guidance		\$162bn - \$169bn for the Year												
Operating Income	\$91,468	\$87,647	4.4%	\$88,317	3.6%	\$83,276	9.8%	\$101,262	\$100,144	1.1%	\$103,636	(2.3)%	\$91,468	10.7%
Family of Apps	\$111,034	\$107,336	3.4%	\$105,747	5.0%	\$102,469	8.4%	\$117,926	\$117,758	0.1%	\$122,478	(3.7)%	\$111,034	6.2%
Reality Labs	\$(19,566)	\$(19,689)	NM	\$(20,265)	NM	\$(19,193)	NM	\$(16,664)	\$(17,614)	NM	\$(20,328)	NM	\$(19,566)	NM
OI Margin	35.9%	34.6%	+135 bps	35.2%	+75 bps	41.4%	(550) bps	34.0%	33.9%	+14 bps	34.8%	(80) bps	35.9%	(191) bps
Family of Apps	44.1%	42.8%	+126 bps	42.6%	+148 bps	51.6%	(747) bps	40.1%	40.3%	(24) bps	41.7%	(158) bps	44.1%	(400) bps
Reality Labs	(744.7)%	(724.0)%		(765.3)%		(869.6)%		(487.9)%	(498.2)%		(591.7)%		(744.7)%	
Net Income	\$88,273	\$78,556	12.4%	\$79,426	11.1%	\$60,458	46.0%	\$89,836	\$90,405	(0.6)%	\$90,034	(0.2)%	\$88,273	1.8%
Net Income Margin	34.7%	31.0%	+368 bps	31.6%	+304 bps	30.1%	+460 bps	30.2%	30.6%	(40) bps	30.3%	(7) bps	34.7%	(450) bps
Diluted EPS	\$34.22	\$30.34	12.8%	\$35.01	(2.2)%	\$23.49	45.7%	\$34.31	\$34.55	(0.7)%	\$34.83	(1.5)%	\$34.22	0.3%
Capex	\$136,421	\$123,659	10.3%			\$72,215	88.9%	\$182,967	\$135,283	35.2%			\$136,421	34.1%
Purchases of PP&E	\$132,854	\$120,416	10.3%	\$126,990	4.6%	\$69,691	90.6%	\$179,743	\$132,457	35.7%	\$146,308	22.9%	\$132,854	35.3%
Prin. Payments on Cap leases	\$3,567	\$3,243				\$2,524	41.3%	\$3,225	\$2,825				\$3,567	(9.6)%
Guidance		\$125bn - \$145bn for the Year												
Free Cash Flow (FCF)	\$9,481	\$14,291	(33.7)%	\$7,195	31.8%	\$43,585	(78.2)%	\$(13,415)	\$24,269	NM	\$15,288	NM	\$9,481	NM
FCF Margins	3.7%	5.6%		2.9%	+86 bps	21.7%		(4.5)%	8.2%		5.1%		3.7%	

Source : Company documents; Bloomberg Finance LP; Deutsche Bank

Downside risks: Future privacy changes that impact the ability to measure advertising outcomes or to target advertising would impact sentiment. Growing competition for users' time that results in declining engagement beyond current expectations across Meta's properties would reduce the attractiveness of Meta's ad products. Lastly, any deterioration of the macro environment could also weigh on investor sentiment.



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Meta	META.OQ	669.12 (USD) 29 Apr 2026	14, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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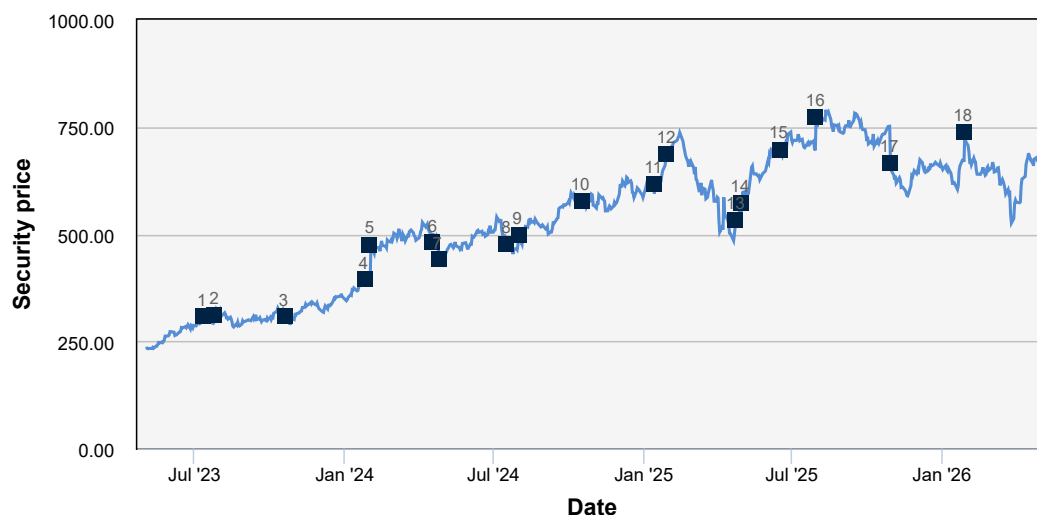
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Benjamin Black.



Historical recommendations and target price: Meta (META.OQ)

(as of 04/29/2026)



Current Recommendations

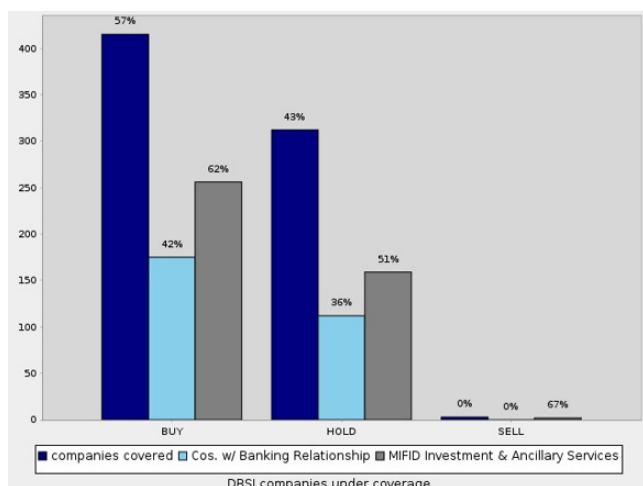
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	07/12/2023	Buy, Target Price Change USD 350.00, Current Price USD 309.34 Benjamin Black, CFA	10.	10/17/2024	Buy, Target Price Change USD 650.00, Current Price USD 576.93 Benjamin Black, CFA
2.	07/27/2023	Buy, Target Price Change USD 380.00, Current Price USD 311.71 Benjamin Black, CFA	11.	01/15/2025	Buy, Target Price Change USD 705.00, Current Price USD 617.12 Benjamin Black, CFA
3.	10/20/2023	Buy, Target Price Change USD 385.00, Current Price USD 308.65 Benjamin Black, CFA	12.	01/30/2025	Buy, Target Price Change USD 800.00, Current Price USD 687.00 Benjamin Black, CFA
4.	01/26/2024	Buy, Target Price Change USD 450.00, Current Price USD 394.14 Benjamin Black, CFA	13.	04/24/2025	Buy, Target Price Change USD 650.00, Current Price USD 533.15 Benjamin Black, CFA
5.	02/02/2024	Buy, Target Price Change USD 525.00, Current Price USD 474.99 Benjamin Black, CFA	14.	05/01/2025	Buy, Target Price Change USD 670.00, Current Price USD 572.21 Benjamin Black, CFA
6.	04/19/2024	Buy, Target Price Change USD 540.00, Current Price USD 481.07 Benjamin Black, CFA	15.	06/17/2025	Buy, Target Price Change USD 770.00, Current Price USD 697.23 Benjamin Black, CFA
7.	04/25/2024	Buy, Target Price Change USD 500.00, Current Price USD 441.38 Benjamin Black, CFA	16.	07/31/2025	Buy, Target Price Change USD 930.00, Current Price USD 773.44 Benjamin Black, CFA
8.	07/18/2024	Buy, Target Price Change USD 525.00, Current Price USD 475.85 Benjamin Black, CFA	17.	10/30/2025	Buy, Target Price Change USD 880.00, Current Price USD 666.47 Benjamin Black, CFA
9.	08/01/2024	Buy, Target Price Change USD 585.00, Current Price USD 497.74 Benjamin Black, CFA	18.	01/29/2026	Buy, Target Price Change USD 920.00, Current Price USD 738.31 Benjamin Black, CFA



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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